02-1/81/08/07

PRIME MINISTER'S EVE OF
NATIONAL DAY MESSAGE 1981

Amidst the gloom of high inflation, high unemployment, high interest rates and low growth rates in America and Western Europe, Singapore is fortunate to have made 9.9% growth in the first quarter of this year.* Our inflation measured by the Consumer Price index for the first six months of 1981 has gone down to 6.7%, compared with 9.8% for the corresponding period last year, a decrease of one-third.

Whilst severe crises and tensions grip Poland, Afghanistan, Kampuchea, and Iran, we have been blessed with stability in ASEAN. Stability and good growth rates go together. In all the five countries of ASEAN, growth rates ranged between 5-10% in 1980. The prospects are for continuing stability and cooperation, thus encouraging more investments and further growth in every ASEAN country. This is in stark contrast to the harsh and bitter conditions of war, food shortages and privation in the countries of Indo-China -- Vietnam, Laos and Kampuchea.

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This year's NWC award of $32 plus 6-10%, or an increase of 14-18% in wages, marks the last of three successive high NWC increases. Next year, the NWC increase will be based on increase in productivity. Increases must be deserved through higher output. Management and workers must strive to increase productivity by lowering unit cost. Management must press ahead with more automation, computerisation and newer machines. Workers continue to be in short supply. Key factors to higher productivity are better equipment, improved production methods, better management-worker relations, and workers with good work attitudes.

In the 1980's we must move our products and our services up-market, in other words, make them more skill-intensive and more knowledge-intensive. We must aim to become, by the 1990s, an information and a brain services centre.

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Success will depend upon getting our workers better educated with better work attitudes and more team spirit. Everyone will be educated to his maximum potential, whether in the university, the polytechnic, or the VITB. Every worker must also learn the right attitudes to work, which include a willingness to do one's work well, to be punctual, to keep one's work place clean and tidy, and help out in the work of one's fellow-workers and to take up other side duties willingly and promptly. These attitudes have to be taught in schools. For those

who have missed learning them in school, then their learning must start in their place of work. It is never too late to improve work attitudes.

The quality of teachers we are recruiting is improving. The ratio of teachers to students is better. Our recruitment officers in Britain and America are getting more responses from better qualified staff to fill vacancies in the NUS, NTI, Polytechnic, Ngee Ann, and VITB. We are encouraging our own teachers to improve their standards by offering them further training on scholarships and bursaries.

Our objective is a total uplift in the levels of knowledge and skills, especially those areas crucial to the next stage of our economic development: practical engineering and computer science. We shall become more productive through higher standards of training, better work attitudes and greater team spirit.

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You know that recently Rollei had to be wound up. Rollei decided, over 10 years ago, in 1970, to transfer its camera manufacturing operations from Germany to Singapore. German workers' wages then were three times higher than Japanese; Japanese workers' wages were four times that of Singaporeans. By using lower-wage Singaporeans, Rollei had hoped to keep their market. Even in 1970, Rollei cameras were lagging behind Japanese cameras in new

technology. Rollei kept their R&D in Germany and transferred production to Singapore. Some say the transfer of training and skilled to Singapore was too quick and so became too costly. There were, of course, other important causes for Rollei's failure. The Japanese had done more research on consumer preferences, and incorporated the great leaps in Japanese microchip technology into their cameras, in automatic range-finding, automatic lighting and aperture control, and a wide range of improvements. But most important of all, the Japanese lowered their per unit labour cost, through automation and the use of robots, and through high productivity from Japanese workers who worked assiduously in quality control circles to achieve zero defects.

We can learn our lessons from the way Japanese beat Rollei in spite of lower-wage Rollei workers in Singapore. Now we must get another partner with good R&D and the markets. The way to survive is to bring out products which will continue to improve because of good R&D, and which will become cheaper and more competitive because workers increase their productivity through quality control and zero defects circles, and through cooperation with management to improve quality and to reduce cost.

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Never forget that we have got to keep moving upwards in technology. Other developing countries have seen how South Korea, Taiwan, Hong Kong and

Singapore have done it and are catching up. Also, we must move out of products which will run into more protectionist barriers because more developing countries are entering the lower technology market. We have to use our natural strong points against other countries, what economists call "comparative advantage", e.g., our location as an international junction for transport and communications, our good economic and social infrastructure, our educated and quick learning workers. We must invest to improve upon these advantages, both the physical and human infrastructure. Hence we invested $1.5 billion on the new Changi Airport; hence the buildings, new equipment and teachers in schools, VITB, Polytechnic, NUS and NTI. In short, we have to get every Singaporean to rise to his maximum potential, to change his or her habits as an individual achiever and to learn to be a team achiever.

To increase productivity, this concept of what productivity is must penetrate into every Singaporean mind. Put in a simple way, we are now in the middle stages of our economic development. Our technology, skills, wages and products are better than those of the 1960s and 1970s. If we want to increase our per capita productive output, we must have higher per capita investment in more automated and computerized machines, which in turn requires better educated and more highly-trained workers to operate. These machines and workers will become most productive when they are working under enlightened

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and efficient management, a management that knows how to motivate its workers, how to get them loyal to and identified with the company, and to give of their best for their work team and for their company. The company must care for the welfare, employment and future of its workers to win their loyalties. We have to get everyone receptive to these new attitudes and ideas so that increasingly workers and management will work in harmony, thereby increasing productivity. We must eradicate the old antagonisms of talking about "them" the bosses and "us" the workers.

To help achieve these objectives, I met recently management and union representatives to get them to join the government in a Productivity Council. It will take us many years to achieve our goal. Conditions are favorable for a good start. Management representatives - Singaporean, American, Japanese and European -- are keen. I agree with them that productivity is a function of management. In our circumstances, the government and the unions have a major role to play: making workers more receptive to new ideas and ways of doing things.

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Goods and services are not going to get cheaper because oil or energy, which drives the machines, is going to get dearer. So HDB homes will not get cheaper. The answer is to increase our earning capacity by increasing

productivity, which means workers with more skills and professionalism, cooperating with each other and with management to reduce the unit cost of each product. Then, despite higher prices, you can still afford to buy HDB homes with the latest improvements and high-quality finishes. Then you can also afford the latest and most energy-saving of refrigerators, washing machines and colour television. All this depends upon higher levels of education, which I am confident Singaporeans can achieve, and on team spirit which Singaporeans must learn to adopt as a way of life. We have to make our products more competitive, against the whole world. This is our best guarantee of a secure future. We shall have a good year of economic growth in 1981, probably above 8%. Let us use these next few years to consolidate our gains, by becoming a better trained, better organized, and more productive people.

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SUMMARY OF PRELIMINARY ECONOMIC INDICATORS

1 Real Gross Domestic Product (Tables 1 and 1A)

After an unexpected burst of strength in the first quarter, 1981, the US economy contracted in the second quarter. Economic growth also declined in the rest of the western industrialized countries in the first half of 1981. The Japanese economy continued to grow at a healthy rate.

The Singapore economy grew by 10.3 per cent in the first half of 1981. The major growth sectors were financial and business services (which contributed 27 per cent of our economic growth), manufacturing (24 per cent), transport and communication (20 per cent) and trade (15 per cent).

2 New Jobs Created (Table 2)

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There was a net increase of 20,000 jobs during the first half, 1981. Almost one-third of the new jobs was in the expanding financial and business services sector. The increase in manufacturing employment was significantly lower than in 1980 reflecting the effects of the economic restructuring policy.

3 Productivity (Table 3)

Productivity improved by 6.3 per cent for the whole economy in the first half, 1981. The gains in productivity in manufacturing and finance and business services sectors were most impressive at 11 per cent.

4 Manufacturing Output (Table 4)

After slowing down in the second half, 1980, the manufacturing sector picked up in the first half, 1981. Industrial production rose by 11.3 per cent. Shipbuilding, ship repairing and oil rig construction were the fastest growing industries. The manufacturing of electronic products, parts and components and industrial machinery as well as the printing industry grew strongly. Petroleum refining also expanded in the second quarter.

5. Manufacturing Investments (Table 5)

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Investment commitments in manufacturing totalled $1,1221 million in the first half, 1981. This is about the same as for the corresponding period of 1980, which was a record year for investments. Based on probable investments in the pipeline, investment prospects remained good. New investment commitments came mainly from the specialty chemicals, oil field equipment, precision engineering products, electronics, computer equipment, aircraft components, ship repair, packing materials and printing industries. Local investments

increased substantially as our local companies responded to the economic restructuring policy by upgrading and expanding their operations.

6 Construction (Table 4)

The construction sector expanded at a higher rate in the first half, 1981, owing to faster expansion of private sector construction . Shortage of construction workers continued to be a major problem facing the industry.

7 Tourism (Table 4)

Our tourist sector remained healthy. Tourist arrivals increased by 12 per cent in the first six months of 1981.

8 Singapore's External Trade

a Overall Trade (Table 6)

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External trade slowed down in the first half, 1981, because of lower commodity prices and sluggish re-export. The value of total trade increased by 12.9 per cent as compared to 45.6 per cent in the same period of 1980. Imports rose faster than exports.

b Major Trading Partners (Table 7)

Our top three trading partners continued to be Malaysia (14.1%), Japan (14.0%) and the United States (12.7%) which together accounted for 41 per cent of total trade.

c Cargo Handled (Table 8)

Total seaborne cargo handled increased by 6.3 per cent, about the same rate as a year ago.

9 Inflation - Domestic and External Prices (Tables 9 and 9A)

The consumer price index for the first half, 1981, rose by 6.7 per cent compared to 9.8 per cent in the same period last year. The increases were mainly in food, transportation and housing items. Inflation in most of the industrialized countries seemed to be moderating.

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TABLE 1

GROSS DOMESTIC PRODUCT BY INDUSTRY
AT CONSTANT 1968 FACTOR COST

Industry	1980		1980 1st Half		1981 1st Half	
	$ Million	% Change over 1979	$ Million	% Change Over 1st Half 1979	$ Million	% Change Over 1st Half 1980
TOTAL	12,154.0	10.2	5,843.8	10.8	6,445.2	10.3
Agriculture and Fishing	160.2	2.6	78.8	4.1	79.5	0.9
Quarrying	51.7	27.0	22.8	16.9	31.0	36.0
Manufacturing	2,912.4	11.9	1,396.2	13.9	1,554.6	11.3
Utilities	358.6	8.2	174.4	7.9	184.1	5.6
Construction	605.1	10.0	284.1	10.0	327.4	11.3
Trade	3,140.4	7.2	1,498.5	7.5	1,589.6	6.4
Transport and Communication	2,270.6	11.9	1,078.6	13.7	1,209.5	12.1
Financial and Business Services	1,968.7	16.6	950.4	15.4	1,125.8	18.5
Other Services	1,352.9	6.9	670.7	6.9	715.0	6.6
Less: Imputed Bank Service Charge	667.6	na	315.7	na	371.3	na

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Source: Department of Statistics.

TABLE 1A

REAL GNP/GDP GROWTH IN SELECTED OECD COUNTRIES,
1979 - 1ST HALF 1981

	1979	1980	1st Half 1980	1st half 1981 (Forecast)
	Percentage Changes Over Corresponding Period of Previous Year			
Total OECD	3.3	1.3	1.1	2¼
United States	2.4	-0.2	-1.4	5
Japan	5.5	4.2	5.5	3½
West Germany	4.6	1.8	2.8	-¾
France	3.2	1.3	1.2	-¾
United Kingdom	0.9	-1.8	-1.2	-¼
Italy	5.0	4.0	6.4	¼
Canada	2.9	0.1	-1.9	3

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Source : OECD Economic Outlook, Dec 80 and Jul 81

TABLE 2

ESTIMATES OF JOB CREATION BY SECTOR

Sector	1980			1981		
	1st Qtr	2nd Qtr	1st Half	1st Qtr	2nd Qtr	1st Half
1. Agriculture	-	-	-	-	-	-
2. Mining & Quarrying	-	-	-	-	-	-
3. Manufacturing	4,000	6,000	10,000	3,000	-1,000	2,000
4. Electricity, Gas & Water	-	-	-	-	-	-
5. Construction	-	-	-	1,000	2,000	3,000
6. Commerce	3,000	2,000	5,000	5,000	1,000	6,000
7. Transport, Storage & Communication	-	1,000	1,000	-	-	-
8. Financing, Insurance, Real Estate & Business Services	2,000	3,000	5,000	3,000	3,000	6,000
9. Community, Social & Personal Services	1,000	2,000	3,000	2,000	1,000	3,000
TOTAL	10,000	14,000	24,000	14,000	6,000	20,000

Source: CPF Records
Note: Figures are rounded

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TABLE 3

PRODUCTIVITY

	Percentage Change		
	1980 / 1979	1st Half 80 / 1st Half 79	1st Half 81 / 1st Half 80
Overall Economy	5.0	4.5	6.3
Manufacturing	5.0	5.9	11.2
Commerce	3.6	0.5	1.0
Transport & Communication	8.6	8.8	8.9
Financial & Business Services	9.7	8.0	10.9

Source: Department of Statistics

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TABLE 4

QUARTERLY INDEX OF INDUSTRIAL PRODUCTION, CONSTRUCTION WORKS CERTIFIED FOR PAYMENT AND TOURIST ARRIVALS, 1980 - 2ND QTR 1981

	Quarterly Index of Industrial Production		Construction Works Certified for Payment						Tourist Arrivals	
			Total	Public	Private	Total	Public	Private		
	1978=100	Annual Change (%)	$ Million			Annual Change (%)			Thousand Persons	Annual Change (%)
1980 1st Quarter	117.0	13.7	671.1	494.4	176.7	38.3	39.6	35.3	530.4	16.6
2nd Quarter	129.6	14.0	598.6	407.8	190.8	36.7	40.9	28.8	531.6	12.4
1st Half	123.3	13.9	1,269.7	902.2	367.5	37.6	40.1	31.9	1,062.0	14.5
2nd Half	135.2	10.8	1,424.2	959.7	464.5	39.6	37.9	43.7	1,225.0	13.9
1981 1st Quarter	129.3	10.5	831.4	592.0	239.4	23.8	19.7	35.5	595.8	12.3
2nd Quarter	145.3	12.1	925.2	611.9	313.3	54.6	50.0	64.2	597.8	12.4
1st Half	137.3	11.3	1,756.6	1,203.9	552.7	38.3	33.4	50.4	1,193.6	12.4

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Source: Department of Statistics.

Table 5

Gross & Net Manufacturing Investment Commitments
(1980 - 1st half 1981)
Updated as at June 1980
(S$'000 in Fixed Assets)

	Total Gross Commitment[2/]			Total Net Commitment[2/]		
	Foreign	Local[1/]	Total	Foreign	Local[1/]	Total
1980						
1st half	1,035,300	147,470	1,182,770	1,034,457	147,333	1,181,790
2nd half	207,694	56,102	263,796	207,694	56,102	263,796
TOTAL	1,242,994	203,572	1,446,566	1,242,151	203,435	1,445,586
1981						
1st half	687,642	432,919	1,120,561	687,642	432,919	1,120,561

Source: EDB

1/ Only larger local projects and local investments granted tax incentives are recorded

2/ Investments in petrochemicals excluded.

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TABLE 6

EXTERNAL TRADE 1976 - JUNE 1981

Period	Imports		Exports		Total Trade	
	$ Million	Annual Charge (%)	$ Million	Annual Charge (%)	$ Million	Annual Charge (%)
1976	22,404	16.3	16,266	27.5	38,670	20.7
1977	25,522	13.9	20,090	23.5	45,612	17.9
1978	29,601	16.0	22,986	14.4	52,587	15.3
1979	38,334	29.5	30,940	34.6	69,274	31.7
1980	51,345	33.9	41,452	34.0	92,797	34.0
1979 Jan - Jun	17,064	23.1	13,639	26.7	30,703	24.7
1980 Jan - Jun	24,435	43.2	20,282	48.7	44,717	45.6
1981 Jan - Jun*	28,686	17.4	21,797	7.5	50,483	12.9

* Preliminary

Source: Department of Statistics

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TABLE 7

TRADE WITH SELECTED MAJOR TRADING PARTNERS, 1979 - JUNE 1981

Countries	1979			1980			Jan - Jun 1981*		
	Total	Imports	Exports	Total	Imports	Exports	Total	Imports	Exports
Total	69,274	38,334	30,940	92,797	51,345	41,452	50,483	28,686	21,797
Malaysia	9,821	5,394	4,427	13,334	7,116	6,218	7,105	3,769	3,336
Japan	9,498	6,530	2,968	12,501	9,163	3,338	7,061	5,200	1,867
USA	9,755	5,489	4,266	12,509	7,237	5,272	6,431	3,711	2,720
Saudi Arabia	4,723	4,020	703	7,237	6,412	825	5,277	4,707	570
Hong Kong	2,925	837	2,088	4,251	1,055	3,196	2,429	533	1,896
Thailand	2,407	1,086	1,321	2,828	1,019	1,809	1,639	503	1,136
Kuwait	1,870	1,698	172	3,026	2,838	188	1,554	1,444	110
Australia	1,993	843	1,150	2,833	1,162	1,671	1,483	615	868
Germany Fed Rep	2,473	1,419	1,054	2,924	1,673	1,247	1,352	779	573
United Kingdom	2,311	1,347	964	2,840	1,771	1,069	1,390	863	527
Taiwan	1,435	984	451	1,918	1,216	702	960	619	341
China People Rep	1,264	894	370	1,990	1,332	658	956	759	197
Others	18,799	7,792	11,007	24,605	9,345	15,260	12,840	5,183	7,657

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* Preliminary

Source: Department of Statistics

TABLE 8

SEABORNE CARGO DISCHARGED AND LOADED, 1976 - JUNE 1981

Period	Cargo Discharged		Cargo Loaded		Total Cargo Handled	
	Thousand Freight Tonnes	Annual Change (%)	Thousand Freight Tonnes	Annual Change (%)	Thousand Freight Tonnes	Annual Change (%)
1976	37,703.1	14.1	20,273.4	6.3	57,976.5	11.3
1977	39,833.8	5.7	24,284.8	19.8	64,118.6	10.6
1978	44,832.5	12.5	28,506.7	17.4	73,339.2	14.4
1979	48,424.4	8.0	31,388.4	10.1	79,812.8	8.8
1980	48,550.0	0.3	32,412.5	3.9	80,962.5	1.4
1979 Jan-Jun	22,830.4	9.8	14,771.8	10.9	37,602.2	10.3
1980 Jan-Jun	23,169.3	1.5	16,742.8	13.3	39,912.1	6.1
1981 Jan-Jun	25,566.4	10.3	16,840.9	0.6	42,407.3	6.3

Source: Department of Statistics.

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TABLE 9

CONSUMER PRICE INDEX, 1977 - JUNE 1981
(JUNE 1977 - MAY 1978 = 100)

Period \ Weight	All items	Food	Clothing	Housing	Transport & Communication	Miscellaneous
	100.0	49.6	4.6	16.6	11.4	17.8
1977	97.2	96.0	98.2	98.6	100.1	97.6
1978	101.9	101.7	101.1	99.8	104.6	102.9
1979	106.0	104.5	104.6	104.7	114.0	106.3
1980	115.0	112.6	106.6	116.4	128.8	113.8
1980 Jan - Jun	113.4	111.4	106.0	114.2	127.3	111.4
1981 Jan - Jun	121.0	118.7	107.9	119.4	137.8	121.7
	Percentage Change Over Corresponding Period of Previous Year					
1977	3.2	4.9	1.5	1.5	0.6	1.4
1978	4.8	5.9	2.9	1.2	4.4	5.4
1979	4.0	2.8	3.5	4.8	9.0	3.4
1980	8.5	7.7	1.9	11.2	12.9	7
1980 Jan - Jun	9.8	9.2	2.5	12.8	17.1	5.6
1981 Jan - Jun	6.7	6.5	1.8	4.5	8.2	9.2

Source: Department of Statistics

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TABLE 9A: A SUMMARY TABLE OF CONSUMER PRICE INCREASES IN SELECTED COUNTRIES

Period	1/ USA	1/ UK	1/ Japan	1/ West Germany	2/ Hongkong	3/ Malaysia	4/ Taiwan	5/ South Korea
	Annual Change (%)							
1971	4.3	9.4	6.0	5.2	3.8	1.6	2.1	13.4
1972	3.3	7.1	4.6	5.6	6.1	3.2	3.0	11.7
1973	6.2	9.1	11.8	7.0	18.1	10.5	8.2	3.2
1974	11.0	16.0	24.3	7.0	14.4	17.4	47.5	24.3
1975	9.1	24.2	11.9	6.0	3.1	4.5	5.2	25.3
1976	5.8	16.5	9.3	4.3	3.4	2.6	2.5	15.3
1977	6.5	15.8	8.1	3.7	5.8	4.8	7.0	10.1
1978	7.7	8.3	3.8	2.7	5.9	4.9	5.8	14.4
1979	11.3	13.4	3.6	4.1	11.6	3.6	9.8	18.3
1980	13.5	18.0	8.0	5.5	15.5	6.7	19.0	28.7
1980								
1 Qtr	14.3	19.0	7.5	5.4	18.5	6.4	17.4	25.9
2 Qtr	14.4	21.5	8.3	5.9	14.9	6.1	17.2	26.2
3 Qtr	12.9	16.5	8.4	5.4	14.7	6.9	18.6	28.7
4 Qtr	12.6	15.3	7.8	5.3	14.2	7.4	22.3	33.5
1981								
1 Qtr	11.2	12.7	6.6	5.7	12.7	8.5	19.7	28.6
2 Qtr	9.8*	11.7	5.3*	5.7*	15.0*	10.7*	19.3	24.9

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Source :
1/ Monthly Finance review, Ministry of Finance, Japan
2/ Hong Kong Monthly Digest of Statistics
3/ Consumer Price Index for Peninsular Malaysia
4/ Taiwan Financial Statistics
5/ Monthly Statistics of Korea
* April-May
P Preliminary